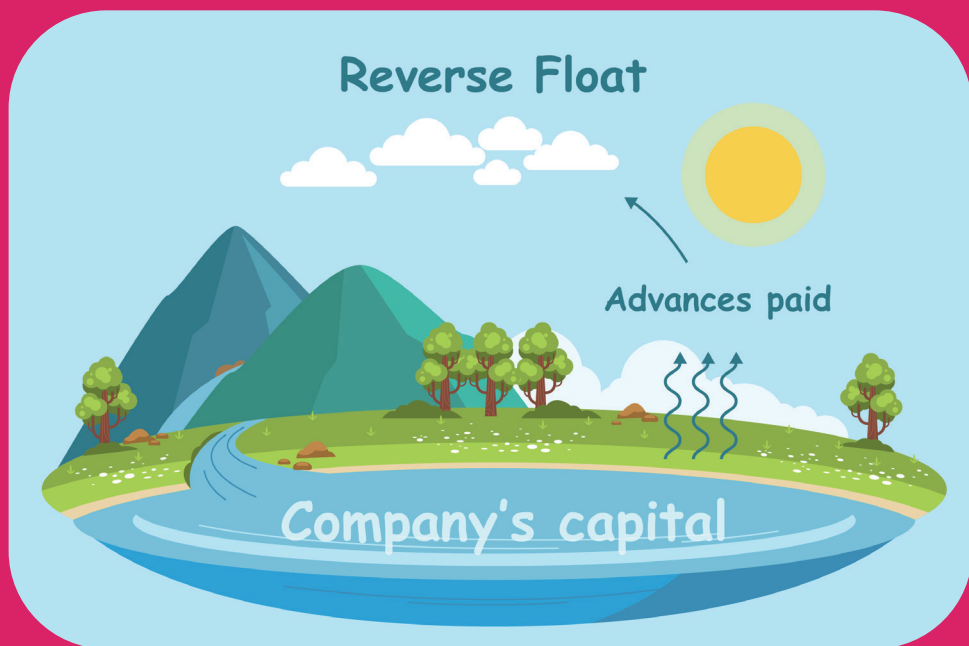


So, when you receive capital to use and keep the profit (insurance or advance payment from a customer), that is float. However, whenever a company gives or extends credit or allows outsiders to use the company's capital and keep the profit or benefit, that is Reverse Float.

EXAMPLE

Accounts receivable. Here the company is giving their goods on credit to another company. The receiver uses the assets to keep the benefits. After that, it returns the money to the company. This is an example of Reverse Float.



These are assets of the company that they are extending. As a result, the company will generally generate a lower rate of return because 'reverse float' will generate a sub-par return for the company.